NovaMart Q3 2025 Business Review

NovaMart Pvt Ltd - Internal document (fictional, for DataMind demo)

Summary

Q3 2025 (July to September) was a mixed quarter for NovaMart. Overall revenue grew year on year, driven by the South region and the Grocery and Beauty categories. However, Electronics revenue in the West region fell sharply, by roughly half compared with Q2 2025.

West region Electronics decline

On 7 July 2025, heavy monsoon rainfall flooded the Bhiwandi distribution centre near Mumbai, which supplies all West region stores (Andheri, Thane, Kothrud, SG Highway) and online orders shipped to West region customers. Around 40 percent of Electronics inventory held at Bhiwandi, mainly Smart TVs, phones and laptops, was damaged. From 8 July to 20 September 2025 most Electronics SKUs were out of stock in the West. Customers shifted spending to Grocery, Beauty and Fashion, which were supplied from a separate warehouse in Taloja and were unaffected.

Mitigation

From mid-August the supply chain team routed part of the Electronics replenishment from the Hyderabad distribution centre, which reduced but did not remove stock-outs. Full operations at Bhiwandi resumed on 21 September 2025. An insurance claim has been filed for the damaged stock. Operations has approved raised racking and flood barriers at Bhiwandi before the 2026 monsoon.

South region

South continued the strong growth that began after the two new stores opened in February 2025 (see the South Expansion Update).

NovaSound X2 Earbuds

The return rate for NovaSound X2 Earbuds fell back towards normal levels in Q3 after the battery fix introduced in July 2025 (see the Product Quality and Returns Memo).

Outlook for Q4

Q4 performance is expected to depend heavily on the Festive Dhamaka 2025 campaign planned for 15 October to 15 November 2025, with West Electronics inventory fully rebuilt ahead of the festive season.